

you may qualify for an income-driven repayment program. You pay a percentage of your income (about 10 percent) for ten years (120 payments). At the end of that period, the remainder of your balance is forgiven without tax consequences. This can provide massive savings to those who qualify.

The second type is the standard loan forgiveness program, which is available to anyone. This program is also based on paying a percentage of whatever you earn, but you have to do it for twenty to twenty-five years instead of only ten years as with the PSLF. At the end of the standard loan forgiveness program, you also owe taxes on the forgiven balance. This makes the calculations for people considering this option more complicated. You have to figure out how much you would save by not paying back the full balance versus the need to carry a student loan balance for several decades and then pay the tax bomb awaiting you at the end of the program.

Loan forgiveness programs are subject to legal changes. Hornsby said he's discussed proposals to repeal and replace income-driven loan forgiveness programs with lawyers. They agree that the language of the loan agreements means people who already have outstanding debt have to be grandfathered in under existing rules. Hornsby also opined that the nation's current "\$1.5 trillion of